

For the rest of his savings, Greg realizes that using a traditional bank wouldn't make the most sense. Instead, he decides to explore his options online. He finds an online bank that offers two enticing choices: (1) a high-yield savings account with an interest rate of 1.8%, or (2) a CD that offers 2.5% if he keeps the money in the account for four years. Because he will probably need to access his savings soon for a new car, he chooses the high-yield savings account. Greg now has a convenient and free checking account for his everyday purchases, and a high-yield savings account that will allow his money to grow while remaining accessible.